

When a throwback or pullback occurs, it takes 12 to 13 days on average to complete the move back to the breakout price. Performance suffers if a throwback or pullback appears, too.

To avoid a throwback or pullback, look for overhead resistance or underlying support before trading. Avoid the diamond when congestion is nearby.

After the throwback or pullback ends, price rises most often. That's bad news after a pullback, though (46% continue lower, meaning price rises the other 54% of the time).

Gaps. I compared the performance of diamonds with and without breakout day gaps. Most often, gaps help performance and that's what we see with diamond bottoms, too. I used the opening price the day after a gap in the measure to the ultimate high or low. Thus, you can buy into the trade after the gap appears to participate in the better-performing move.